# Eesti Energia (Enefit)

Issuer review · 6M2026

**Analysis date:** 2026-10-22
**Rating:** Moody's Baa3 stable (2026-04-08); Fitch BBB- stable (2025-07-22); the hybrid is not rated separately in the documents read[1,2]
**Next report:** Q3 2026 interim report - expected late October 2026

**Watch.** Eesti Energia is 100% state-owned with an investment-grade rating (Moody's Baa3, Fitch BBB-)[3,4]. But leverage is high: net debt / EBITDA 4.1x (3.6x a year earlier), and FY2025 showed an EUR 82.6m loss due to impairments[5,6]. The instrument held is a subordinated hybrid whose coupon may be deferred.

| EBITDA (FY2025) | Net debt / EBITDA (6M2026) | Net debt (6M2026) | Equity (6M2026) |
|---|---|---|---|
| **317.2 EUR m** | **4.1x** | **1,224 EUR m** | **2,045 EUR m** |
| ▼ 20.3 % vs FY2024 | ▲ 0.5x vs 6M2025 | ▲ 10.0 % vs 6M2025 | ▼ 12.3 % vs 6M2025 |

## Quick summary

- **Weaker quarter:** Q2 EBITDA EUR 55.7m (76.9m), net loss EUR 8.6m (profit 27.3m)[5].
- **Leverage rising:** net debt EUR 1,224m, 4.1x EBITDA (3.6x a year earlier)[5]. Undrawn credit lines EUR 420m[7].
- **Shift to renewables:** 2,257 GWh of 3,623 GWh generated from renewables in 2025 (62%, calculated by the tool); 872 MW wind and 172 MW solar[8].
- **New Strategy 2030+ (2026-09-17):** gradual phase-out of oil shale power, up to 350 MW of cleaner dispatchable (incl. gas) capacity, separation of the power and shale oil businesses[9].

## Instruments held and ISINs

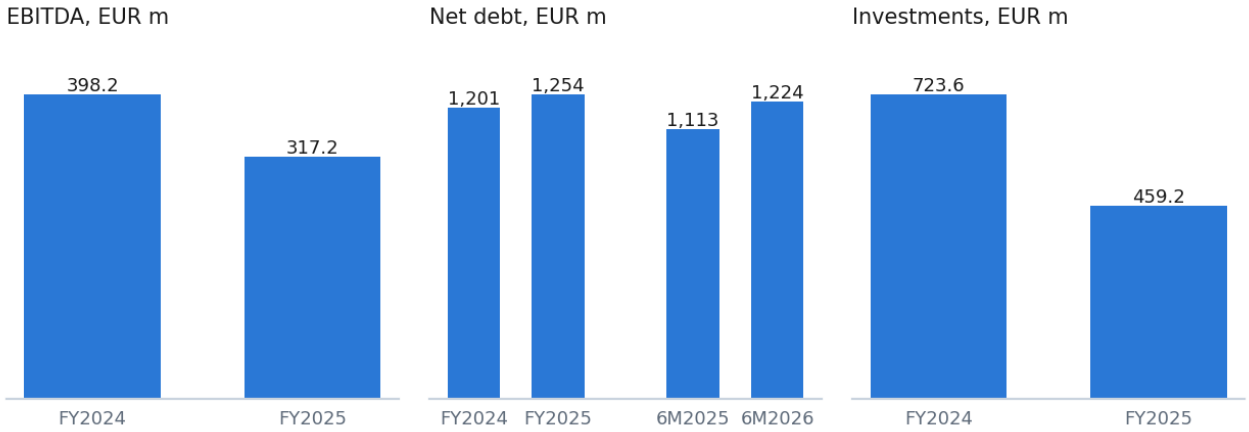
| ISIN | Instrument | Coupon | Maturity | Note |
|---|---|---|---|---|
| XS2824761188 | Eesti Energia 7.875% perpetual subordinated hybrid | 7.875% | perpetual | Perpetual; first call 2029-07-15 |

## Key ratios

| Metric | FY2024 | FY2025 | 6M2026 | Change |
|---|---|---|---|---|
| Revenue, EUR m[6,10] | 1,785.2* | 1,646.9* | 939.9* | – |
| EBITDA, EUR m[6] | 398.2* | 317.2* | – | **▼ 20.3 % vs FY2024** |
| Net profit, EUR m[6,10] | 12.9* | -82.6* | 40.5* | – |
| Investments, EUR m[6] | 723.6* | 459.2* | – | ▼ 36.5 % vs FY2024 |
| Net debt, EUR m[6,5] | 1,201* | 1,254* | 1,224* | **▲ 10.0 % vs 6M2025** |
| Net debt / EBITDA[6,5] | 3.02x* | 3.95x* | **4.1x*** | **▲ 0.5x vs 6M2025** |
| Equity, EUR m[6,5] | 2,383* | 1,993* | 2,045* | **▼ 12.3 % vs 6M2025** |
| Equity ratio[11] | – | – | **41.7%ᶜ** | – |
| Electricity generation, GWh[6] | 3,791* | 3,623* | – | ▼ 4.4 % vs FY2024 |

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).




## Business performance review

- **State-owned:** power and heat generation (oil shale, wind, solar), shale oil, distribution grid (Elektrilevi), retail[12,6].
- The new Enefit 280-2 shale oil plant started up in April 2026; Elektrilevi's tariff rose 3.4% from June[13].

## Financials

- FY2025 revenue EUR 1,646.9m (1,785.2m), EBITDA EUR 317.2m (398.2m), loss EUR 82.6m including EUR 197.6m impairment; investments EUR 459.2m[6].
- Equity EUR 2,045m at 2026-06-30; total assets EUR 4,901m; equity ratio about 42% (calculated by the tool)[14]. The state injected EUR 100m of equity in May 2025[15].
- Debt EUR 1,666m at 2026-06-30; a EUR 300m 4.6% green bond (2031) was issued on 2026-05-28[7].

## Past plans vs outcomes

| Plan / target | Outcome | What changed and why | Status |
|---|---|---|---|
| Phase out oil shale power generation | Strategy 2030+ says 'gradually' with no date; Moody's says 2030-2035[9,3] | No firm date in the new strategy[9]. | **In progress** |
| Emit no more than 3.6 Mt CO2 in 2024-2027 | Actual emissions not found in the reports[16] | Awaiting data[16]. | **In progress** |
| Carbon-neutral electricity by 2045 | Renewables 62% of 2025 output (calculated by the tool)[17,6] | Part of output still comes from oil shale[6]. | **In progress** |

## Investor information & conclusions

- **Instrument held:** a 7.875% perpetual subordinated hybrid, EUR 400m, issued 2024-07-15, first call 2029-07-15, annual coupon; London Stock Exchange[7].
- **Ranking:** the hybrid ranks below all other debt; Fitch treats it as 50% equity[18]. Moody's lists junior subordinated debt at B1 (the document does not say whether this is this hybrid)[19]. Coupon deferral and reset terms were not found.
- **Leverage:** 4.1x EBITDA – high; Moody's expects EUR 400-450m of EBITDA in 2026-2027 (agency forecast)[5,20]. The state has injected equity before (EUR 125m in 2020, EUR 100m in 2025)[15].
- **Conclusion:** elevated risk – high leverage and a subordinated instrument, but strong state support.

## ESG report

### Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel

- No weapons, tobacco or gambling.
- Oil shale mining, shale oil and oil shale power – the SEB policy gives unconventional oil and gas a Baltic exception until 2030[21]
- Moody's expects oil shale power to end in 2030-2035[3].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards

- No UN Global Compact or OECD related controversies found
- ISS found none in 2024[22].

☑ Yes, the company is not in the list of sanctions (add a screenshot)

- Not found on the EU, UN, UK, US OFAC consolidated sanctions lists (automatic check 2026-10-22).

☐ Yes, issues were not identified from adverse media checks (add a screenshot)

- Found: on 2025-05-07 prosecutors opened a criminal case over the special audit findings (possible damage to Enefit Power)
- No one has been charged.
- The Environmental Board fined Enefit Power EUR 190,000 and EUR 110,000 for air emission breaches[23].

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

**Additional comments:**

## ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)

- Fast wind and solar expansion (872 MW wind, 172 MW solar), a green finance framework with an ISS opinion[24,25].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)

- Targets: carbon-neutral electricity by 2045, Net Zero 2050[17,26].

☐ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards

- Yellow flag: the criminal case over the audit and environmental fines[23]
- Moody's ESG credit impact CIS-4, environmental E-4[20].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

**Applicable**

- The Fossil Fuels[27] and Electricity & Renewable Energy[28] policies.

**Met**

- A transition plan (Strategy 2030+), emission targets[9,25].

**Could be improved**

- A firm oil shale exit date.

**Additional comments:**

## Engagement

☑ Is there a need for pro-active engagement with the company?

- Worthwhile: the oil shale exit date, as the SEB Baltic exception for unconventional oil ends in 2030[21].

**Additional comments:**

## Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund

- Renewable and non-renewable generation and emission caps are reported[29,16].

**Additional comments:**

**Conclusion:** No red flags, but oil shale activity is covered by the SEB Baltic exception only until 2030; yellow flag – the audit case and fines.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Fossil Fuels sector policy (coal, oil & gas, peat); Electricity & Renewable Energy sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

## Sources


1. Moody's - Eesti Energia credit opinion update, p. 1, 11, 2026-04-13
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5. Eesti Energia - Interim report Q2 2026 (unaudited, ET), p. 5, 2026-07-31
6. Eesti Energia - Annual report 2025 (unaudited), p. 8, 2026
7. Enefit - Investor page (bonds, financing), 2026-10-22
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25. ISS-Corporate - Second Party Opinion on the Green Finance Framework, 2024-06-04
26. Moody's - Eesti Energia credit opinion update, p. 5, 2026-04-13
27. SEB Sector Policy on Fossil Fuels (2026-04-23), 2026-04-23
28. SEB Sector Policy on Electricity & Renewable Energy (2026-04-23), 2026-04-23
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